

induced by the expected repeal of prohibition. But the gamblers in this instance were acting no differently from those who call themselves investors, in their blithe disregard of the fact that they were paying 140 millions for an enterprise with about 10 millions of resources. (The fixed assets of Commercial Solvents, written down to nothing in the balance sheet, had real value, of course, but not in excess of a few millions.)

The contrast in the other direction shown by our examples is almost as impressive. A going but unsuccessful concern like Pennsylvania Coal and Coke can be valued in the market at about one-sixteenth of its stated resources almost on the same day as a speculatively attractive issue is bid for at sixteen times its net worth. The Pepperell example is perhaps more striking still, because of the unquestioned reality of the figures of book value and also because of the high reputation, large earnings, and liberal dividends of the enterprise covering a long stretch of years. Yet part owners of this business—under the stress of depression, it is true—were willing to sell out their interest at one-tenth of the value that a single private owner would have unhesitatingly placed upon it.

*Recommendation.* These examples, extreme as they are, suggest rather forcibly that the book value deserves at least a fleeting glance by the public before it buys or sells shares in a business undertaking. In any particular case the message that the book value conveys may well prove to be inconsequential and unworthy of attention. But this testimony should be examined before it is rejected. Let the stock buyer, if he lays any claim to intelligence, at least be able to tell himself, first, what value he is actually setting on the business and, second, what he is actually getting for his money in terms of tangible resources.

There are indeed certain presumptions in favor of purchases made far below asset value and against those made at a high premium above it. (It is assumed that in the ordinary case the book figures may be accepted as roughly indicative of the actual cash invested in the enterprise.) A business that sells at a premium does so because it earns a large return upon its capital; this large return attracts competition, and, generally speaking, it is not likely to continue indefinitely. Conversely in the case of a business selling at a large discount because of abnormally low earnings. The absence of new competition, the withdrawal of old competition from the field, and other natural economic forces may tend eventually to improve the situation and restore a normal rate of profit on the investment.